26STCV04259 26STCV04259

County: los-angeles

Division: Civil Law and Motion

Department: 309

Hearing date: 2026-07-16

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Case Number: 26STCV04259 Hearing Date: July 16, 2026 Dept: 309

Superior Court of California

County of Los Angeles

DEPARTMENT
17

TENATIVE RULING

AUTO NET LLC, et al.

vs.

GBC INTERNATIONAL BANK, et al.

Case
No.: 25STCV27879

Related Case: 26STCV04259

Hearing Date: July 15, 2026

Plaintiff's
motion for a preliminary injunction is DENIED.

On
2/8/2026, Plaintiff Auto Net LLC, Chi Ho Li, Chi Ho Li as Trustee of the
Panorama Court Trust and Unteng Lei (collectively, Plaintiffs) filed suit

against Defendant GBC International Bank (Defendant) seeking declaratory relief.

On
3/9/2026, Plaintiffs moved for a preliminary injunction.

Factual Background

Auto
Net, as borrower, obtained a business loan from GBC on 6/27/2023, which was subsequently renewed on 7/6/2024 with the principal amount of One Million Dollars, (the Loan) pursuant to the Business Loan Agreement (BLA) and the U.S. Small Business Administration Note (the Note) executed by Auto Net.

Multiple
security was used to secure the subject Loan. To guarantee repayment of the Loan, the Trust pledged the Property to GBC as security. Acting as the trustees of the Trust, Li and Lei executed and delivered to GBC a Deed of Trust dated 6/27/2023 (DOT), against the Property as collateral. GBC duly perfected its security interest and recorded the DOT on 7/5/2023, with the Los Angeles County Recorder's Office.

At the time
the Loan was renewed on 7/6/2024, GBC and Auto Net agreed that all guarantee and security agreements and DOT would remain in full force and effect. As such, Li, as an individual guarantor, executed an Unconditional Guarantee agreement (Li Guarantee) to personally guarantee full and complete payment on the indebtedness owed to GBC by Auto Net.

Acting as the
trustees of the Trust, Li and Lei also executed an Unconditional Limited Guarantee agreement ("Trust Guarantee," and collectively referred to with the Li Guarantee as the "Guarantee Agreements"), whereby the Trust agreed to abide by the terms of the DOT and pledge the Property as collateral for the Loan. As further security for repayment of the Loan, Auto Net also executed a Commercial Security Agreement (CSA) and pledged as security the Collateral as defined therein and located at the real property located at 17588 Rowland Street, Suite 250, City of Industry, CA 91748.

In Fall 2024,

Auto Net first failed to make payment but was able to cure the default in December 2024. In March 2025, Auto Net again failed to submit the monthly payments due, which resulted in GBC declaring the acceleration clause of the BLA in effect. The entire outstanding balance along with all accrued unpaid interest then became immediately due.

On 7/6/2025,
GBC agreed with Auto Net and the Guarantors via a Change in Terms Agreement to extend the maturity date of the Loan to July 6, 2026, and decrease the principal amount of the Loan from $1,000,000.00 to $778,850.00, and keep all other terms and conditions of the Loan the same and in full force and effect.

Within a
month thereafter, Auto Net and the Guarantors defaulted again and failed to remit any payments in August 2025 and continuing thereafter despite GBC's demand.

On 9/23/2025,
GBC filed initiated an action (the Personal Liability Action or Judicial Action) seeking judicial foreclosure of the Property pledged by the Trust as a co-guarantor, as well as damages in excess of $778,954.88 against the borrower and the guarantors.

On 12/9/2025,
GBC duly recorded the "Notice of Default and Election to Sell Under Deed of Trust," (the NOD) against the Property with the Los Angeles County Recorder's Office, 20 Instrument No. 20250889636. Upon receipt of the NOD, Plaintiffs demanded GBC to cease the non-judicial foreclosure on 1/27/2026 based on the claims that GBC already elected a remedy and violated CCP § 726. On 4/16/2026, GBC recorded the Notice of Trustee Sale (NTS) and notified Plaintiffs the scheduled sale date of 5/12/2026 of the Property at issue.

Discussion

Plaintiffs
seek a preliminary injunction enjoining Defendant GBC International Bank, its officers, agents, attorneys, and any trustee from proceeding with any non-judicial foreclosure or trustee's sale of the real property located at 2847 Panorama Court, West Covina, California 91791 pending trial of this action.

To obtain a
preliminary injunction, a moving party must show that it is likely to succeed on the merits of its claims, that it will suffer irreparable harm if alleged conduct is not enjoined, and that its entitlement to an injunction outweighs any harm to the opposing parties. (Cal. Civ. Proc. § 526(a); Shoemaker v. County of Los Angeles (1995) 37 Cal. App.4th 618, 624; Robbins v. Superior Court (1985) 38 Cal.3d 199, 206.)
California courts have recognized that injunctive relief is extraordinary and should only be granted when the stringent requirements for such relief are met. "The power to issue preliminary injunctions is an extraordinary one and should be exercised with great caution and only where it appears that sufficient cause for hasty action exists." (West v. Lind (1960) 186 Cal.App.2d 563, 565.)

To justify
"the exercise of the rather extraordinary power to restrain defendant's actions prior to a trial on the merits," a plaintiff must show a real and imminent threat of "irreparable injury" if injunctive relief is not granted. (Tahoe Keys Prop. Owners' Ass'n v. State Water Res. Control Bd. (1994) 23 Cal.App.4th 1459, 1471.) An irreparable injury is typically "one for which either (1) its pecuniary value is not susceptible to monetary valuation, or (2) the item is so unique its loss deprives the possessor of intrinsic values not replaceable by money or in kind." (Jessen v. Keystone Sav. & Loan Ass'n (1983) 142 Cal.App.3d 454, 457.)
"If monetary damages afford adequate relief and are not extremely difficult to ascertain, an injunction cannot be granted." (Thayer Plymouth Center, Inc. v. Chrysler Motors Corp. (1967) 255 Cal. App. 2d 300, 306; see also Doyka v. Superior Court (1991) 233 Cal. App. 3d 1134, 1136 (injunction will not issue where "only money is involved").

To show a
likelihood of success on the merits, Plaintiff submitted evidence that:

[Defendant]
filed the Personal Liability Action seeking personal money judgments against Plaintiffs as well as judicial foreclosure of the deed of trust securing the loan. Having initiated that judicial enforcement action, GBC then sought to obtain prejudgment writs of attachment against Plaintiffs' non-collateral personal assets, expressly attempting to secure a personal money judgment on the debt. Those attachment applications required GBC to assert personal

liability and to establish the probable validity of a money claim independent of the real property security.

By seeking prejudgment attachment against non-collateral assets, GBC attempted to obtain priority over other creditors and secure recovery of a personal money judgment separate from the real property collateral. Such conduct constitutes a deliberate effort to obtain recovery directly from the debtor rather than through the security and therefore represents the type of affirmative litigation conduct that triggers the election-of-remedies consequences recognized under Code of Civil Procedure section 726.

While pursuing those judicial remedies, GBC simultaneously initiated and continued nonjudicial foreclosure proceedings against Plaintiffs' residence. This dual course of conduct—seeking personal recovery while simultaneously foreclosing against the collateral—constitutes precisely the type of inconsistent enforcement the one-action rule was designed to prevent.

(Motion, 6: 22-10.)

In opposition, Defendant argue that their concurrent actions do not violate the one-action rule: "Plaintiffs conclude incorrectly that GBC's commencement of the Lead Case and its mere attempt to obtain prejudgment attachment constitute an election of remedy thereby supposedly barring GBC to proceed with the concurrently pending nonjudicial foreclosure of the subject property." (Motion, 1: 15-18.) In other words, Defendant argue that the Judicial Action and the subsequent applications for writ of attachment are not a legal action within the meaning of CCP section 726. As a result, there is no bar from the noticed trustee sale of the Property proceeding as scheduled.

An action generally refers to a judicial action. In Security Pacific National Bank v. Wozab (1990) 51 Cal.3d 991, the California Supreme Court provides what constitutes an action by a bank under section 726 "is answered by section 22 [of the Code of Civil Procedure], which states, 'An action is an ordinary proceeding in a court of justice by which one party prosecutes another for the declaration, enforcement, or protection of a right, the redress or prevention of a wrong, or the punishment of a public offense.'" (Id. at p. 998.)

The California Supreme Court reiterated its Wozab holdings in Coker v. JPMorgan Chase Bank, NA. (2016) 62 Cal. 4th 667 and stated that "the operation of section 726 is in large part within the control of the debtor. If a secured creditor brings an action on the debt before foreclosing the security, the debtor can interpose section 726 as an affirmative defense, thereby requiring the creditor to exhaust the security before he may obtain a money judgment against the debtor. If the debtor does not raise the statute as an affirmative defense, the creditor's action on the debt is allowed to proceed to judgment. The creditor, however, is precluded from thereafter foreclosing on the security. He is deemed to have elected his remedy. (Wozab, supra, 51 Cal.3d at pp. 1004-1005.)"

Here, Defendant argues that its Judicial Action is insufficient to trigger CCP section 726 because merely filing a complaint is not enough to constitute violation of the one-action rule. Rather, an action must be prosecuted to a final judgment. In support, Defendant cites Kirkpatrick v. Westamerica Bank (1998), 65 Cal. App. 4th 982.

However, the Court in Kirkpatrick explained: "An election of remedies occurs in two ways, under the doctrine of res judicata or under the doctrine of estoppel .... An estoppel arises when the action is such that permitting the plaintiff to seek an alternative remedy will prejudice or work a substantial injury to the defendant." (Id. at p. 990, emphasis added). As such, while an election of remedies based on res judicata occurs at the point the judgment attains finality when the claim is merged in the judgment, it also can occur when allowing an alternative remedy to be pursued would be highly prejudicial.

Still, California case law has found that "mere commencement of nonjudicial foreclosure proceedings is not an election of remedy." (Carpenter v. Title Ins. & Trust Co. (1945) 71 Cal. App. 2d 593, 596.) As such, the Court finds no violation of the one-action rule, and Plaintiff has not demonstrated a likelihood of success on the merits.

Based on the
foregoing, Plaintiff's motion for a preliminary injunction is denied.

It is so ordered.

Dated: July
, 2026

Hon. Jon R.
Takasugi

Judge of the
Superior Court

Parties who intend to submit on this tentative must send an email to the court at by 4 p.m. the day prior as directed by the instructions provided on the court website at www.lacourt.org. If a party submits on the tentative, the party's email must include the case number and must identify the party submitting on the tentative. If all parties to a motion submit, the court will adopt this tentative as the final order. If the department does not receive an email indicating the parties are submitting on the tentative and there are no appearances at the hearing, the motion may be placed off calendar. For more information, please contact the court clerk at (213) 633-0517.